PRESS RELEASE

Research Reveals How DAOs Can Successfully Cooperate—And Why Most Attempts Fail

First systematic study of inter-DAO cooperation identifies conditions for successful multi-organization governance

FOR IMMEDIATE RELEASE

Key Findings:

- Similar DAOs cooperate easily but generate modest value; diverse DAOs create larger gains but face coordination challenges
- Asymmetric partnerships (large + small DAO) fail without explicit fairness mechanisms
- "Hub" coordinators dramatically improve multi-party cooperation success rates
- Cross-DAO token holders are key enablers—20% membership overlap doubles cooperation success

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The Problem: Coordination in a Fragmented Ecosystem

DAOs don't exist in isolation. They share users, face common challenges, and could benefit from collaboration on public goods. Yet most inter-DAO cooperation attempts fail, leaving ecosystem-wide problems unsolved.

New research provides the first systematic analysis of when and how DAOs can effectively collaborate.

The Paradox of Complementarity

The study's central finding reveals a fundamental tension: **the conditions that make cooperation most valuable also make it hardest to achieve.**

Similar DAOs cooperate easily but lack complementary strengths, so cooperation adds limited value. Diverse DAOs bring different resources to the table, creating potential for substantial value creation, but preference differences make agreement difficult.

Fairness Mechanisms Are Not Optional

In asymmetric partnerships—a large DAO cooperating with a small one—explicit fairness mechanisms are essential for stability.

The research found that **Shapley value division**—allocating benefits proportional to each party's marginal contribution—provides stable foundations. Equal splits, while simpler, often leave smaller partners feeling exploited.

The Power of Hub Coordinators

For multi-party cooperation (three or more DAOs), a central coordinator dramatically improves success rates by reducing bilateral negotiation costs and maintaining momentum.

However, hub structures require safeguards: rotating roles, spoke veto rights, and transparency requirements.

The Overlooked Role of Overlapping Membership

Perhaps the most actionable finding: **cross-DAO token holders significantly increase cooperation probability.**

When individuals hold tokens in multiple DAOs, they create natural alignment channels. Simulations showed that 20% membership overlap roughly doubles cooperation success rates.

Practical Recommendations

1. **Identify complementarities:** Seek partners with different strengths
2. **Build relationships first:** Trust-building precedes successful formal cooperation
3. **Design for fairness:** Use explicit, defensible rules for dividing costs and benefits
4. **Create overlap:** Encourage cross-DAO participation
5. **Consider coordination structures:** For multi-party initiatives, designate coordinator roles

Why This Matters

The DAO ecosystem faces challenges no single organization can address alone. Public goods funding, protocol interoperability, security standards—these require coordination across boundaries.

This research demonstrates that such coordination is achievable, but requires intentional mechanism design.

Contact:

James Pollack

Independent Researcher

james@jamesbpollack.com

Paper: "Inter-DAO Cooperation: Governance Dynamics in Multi-Organization Networks"

Code: https://github.com/imgntn/dao_simulator

This research was conducted independently and is released to advance the field of decentralized governance.